

VistaStream Global – Q2 FY2026

Quarterly Executive Report

Executive Summary

Q2 FY2026 marked a strong growth quarter for VistaStream Global across subscriber retention, mobile engagement, and regional content performance. Overall platform watch hours increased by 14.8% quarter-over-quarter, driven primarily by APAC region expansion and the continued success of flagship science-fiction content.

The strongest performing title this quarter was **"Galactic Dawn: Reborn"**, which contributed significantly to subscriber acquisition in India, South Korea, Indonesia, and Singapore markets. The title maintained an average completion rate of 81%, outperforming the platform-wide average of 64%.

The company also observed:

- Improved mobile engagement among users aged 18-34
- Increased ad campaign efficiency in APAC regions
- Reduced churn among premium subscription users
- Higher engagement with localized subtitle support
- Increased average nightly watch sessions

Despite strong growth indicators, the Europe region underperformed relative to projections due to lower-than-expected conversion rates from paid social campaigns.

Key Quarterly Metrics

Metric	Q1 FY2026	Q2 FY2026	QoQ Change
Total Subscribers	41.2M	45.8M	+11.1%
Monthly Active Users	33.7M	37.9M	+12.4%
Average Watch Time	18.2 hrs	21.4 hrs	+17.5%
Subscriber Churn	5.8%	4.9%	-0.9%
Mobile Watch Share	49%	56%	+7%
APAC Revenue Contribution	28%	36%	+8%

Regional Highlights

APAC

APAC delivered the strongest regional growth during Q2, accounting for 43% of all new subscriber acquisitions globally.

Primary growth drivers included:

- Localized science-fiction content
- Mobile-first engagement strategy
- Regional influencer partnerships
- Improved subtitle localization quality

India and Indonesia demonstrated particularly strong engagement metrics during evening viewing windows between 8 PM and 1 AM local time.

North America

North America maintained stable retention performance with modest growth in premium-tier subscriptions. Family-oriented content continued to perform strongly, particularly among smart TV viewers.

However, average session duration declined slightly among users under age 24.

Europe

Europe underperformed expectations in Q2.

Primary contributing factors:

- Rising customer acquisition costs
- Lower conversion rates from short-form ad campaigns
- Delayed localization rollout for key content titles

The strategy division has recommended a revised Q3 campaign allocation focused on regional creator partnerships instead of broad digital acquisition.

Content Performance Analysis

Top Performing Titles – Q2 FY2026

Title	Genre	Completion Rate	Avg Rating	Primary Region
Galactic Dawn: Reborn	Sci-Fi	81%	4.7	APAC
Echo Protocol	Thriller	74%	4.5	North America
Silent Harbor	Drama	68%	4.3	Europe
Neon Circuit	Action	72%	4.4	APAC
Kingdom Fall	Fantasy	65%	4.1	LATAM

Audience Engagement Trends

Analytics teams identified several meaningful behavioral shifts during Q2:

Increased Late-Night Streaming

Users aged 18-30 demonstrated significantly increased activity between 9 PM and 2 AM local time, particularly on mobile devices.

Mobile-First Consumption

Mobile viewing surpassed smart TV usage in APAC markets for the first time in company history.

Higher Retention Through Localization

Localized subtitles and dubbed audio options correlated strongly with increased completion rates in multilingual markets.

Marketing Performance Overview

The Q2 marketing strategy focused heavily on:

- short-form creator partnerships
- mobile ad targeting
- regional influencer activations
- performance-based digital campaigns

Campaign ROI Summary

Region	Marketing Spend	ROI	Conversion Rate
APAC	\$12.8M	4.2x	14.8%
North America	\$8.1M	2.7x	9.2%
Europe	\$7.4M	1.6x	5.1%
LATAM	\$4.9M	2.1x	8.7%

The APAC creator partnership initiative significantly outperformed traditional display advertising campaigns.

Europe continued to experience elevated customer acquisition costs relative to subscriber growth.

Infrastructure & Platform Stability

The platform maintained 99.93% uptime during Q2.

Minor operational incidents included:

- temporary recommendation latency spikes during premiere releases
- elevated streaming bandwidth usage during regional launch weekends
- increased subtitle rendering support tickets on older Android devices

No critical security incidents or customer-impacting outages were recorded during the reporting period.

AI & Recommendation Systems

The personalization team deployed Version 4.3 of the recommendation ranking system during May 2026.

Observed improvements:

- +9% increase in content discovery engagement
- +6% increase in average session duration
- reduced abandonment rates on home screen recommendations

The governance committee approved continued rollout under existing AI explainability and audit logging policies.

Strategic Risks & Considerations

While overall performance remains strong, leadership identified several operational risks requiring monitoring through Q3 FY2026.

Regional Saturation Risk

Subscriber acquisition growth in North America continues to stabilize. Future expansion opportunities are expected to rely more heavily on:

- international markets
- localized content production
- regional creator ecosystems

Infrastructure Cost Scaling

Rapid growth in high-resolution streaming traffic has increased infrastructure costs beyond initial quarterly forecasts.

Engineering teams are currently evaluating:

- optimized CDN routing
- adaptive bitrate tuning
- regional caching improvements
- storage lifecycle optimizations

Regulatory & Data Governance

Several international jurisdictions introduced updated AI transparency and user data handling requirements during Q2.

The legal and compliance teams recommend:

- expanded audit logging
- stricter retention windows
- enhanced user consent documentation
- continued restriction of raw customer data exposure within AI workflows

Current internal policy maintains:

- restricted LLM access to raw source documents
- controlled retrieval-based data exposure
- role-based analytics visibility
- traceable query logging

Q3 Strategic Priorities

Content Strategy

- Expand localized science-fiction catalog
- Increase APAC regional production partnerships
- Accelerate subtitle rollout timelines

Product & Platform

- Improve recommendation transparency tooling
- Expand mobile streaming optimization
- Reduce playback startup latency

Marketing

- Reallocate underperforming Europe campaign spend
- Increase creator-led acquisition strategy
- Expand retention-focused campaigns

Closing Notes

VistaStream Global enters Q3 FY2026 with strong subscriber momentum, improving retention metrics, and continued growth across mobile-first international markets.

The executive leadership council remains focused on:

- scalable platform growth
- sustainable acquisition efficiency
- governance-driven AI deployment
- operational resilience
- regional content expansion